PDR STRATEGY

Previous Day Resistance – Gap-Up Support Retest

1. Strategy at a Glance

Item	Rule
Concept	Yesterday's resistance zone is expected to act as support after a gap-up open.
Bias	Buy (long)
Chart	5-minute candles
Zone	Small box from candle body to upper wick at the previous day's high/reversal
Next-day condition	Market must open gap up
Trigger	Price returns to the zone, then a green candle forms
Target	70 points (fixed)
Stop-loss	35 or 40 points, depending on the situation

2. Strategy Overview

PDR stands for Previous Day Resistance. The strategy uses a resistance zone from the previous trading day to find a buying opportunity on the next day.

When the market opens gap up and then pulls back into the marked zone, the zone is watched to see whether it now works as support. If a green candle forms after the zone is tested, the trade is taken.

Sequence: Previous day's high and reversal → Mark zone → Gap-up open → Price returns to zone → Support test → Green candle → Entry.

3. Marking the Resistance Zone

3.1 Identify the high

1. Open the chart and review the previous trading day.
2. Find the high where price reached a peak and then reversed.
3. Locate the candle associated with that high.
4. Note the candle's body and upper wick.

3.2 Draw the zone

1. Upper boundary: the highest point of the upper wick.
2. Lower boundary: the relevant candle-body level.
3. Draw a small rectangle between the two boundaries.
4. Extend the rectangle to the right so it stays visible on the next trading day.

The zone is an area, not a single exact price. Mark only the actual resistance shown by price action, not the whole surrounding move.

4. Next-Day Conditions and Entry

4.1 Gap-up open

The market must open gap up. Do not enter at the open. Wait for price to come back toward the marked zone. If price keeps rising without returning to the zone, there is no setup.

4.2 Valid zone interaction

Interaction	Meaning
Wick touches zone	The candle's wick reaches the marked area
Body touches zone	The candle's body reaches the marked area
Price enters zone	Price moves inside the rectangle
Very close approach	Price comes close enough to count as a test of the zone

Price does not need to hit one exact level. A move that stays far from the zone does not qualify.

4.3 Entry

After the zone has been tested, wait for a green candle and take the long entry on that confirmation.

5. Target and Stop-Loss

Parameter	Value	Note
Target	70 points	Fixed for every PDR trade
Stop-loss (option 1)	35 points	Used depending on the situation
Stop-loss (option 2)	40 points	Used depending on the situation

At a 35-point stop the reward-to-risk ratio is 2.0 : 1; at a 40-point stop it is 1.75 : 1. Because the target is fixed, the stop-loss is the only variable, so choose between 35 and 40 before entering and do not move it after entry.

6. Execution Checklist

- Previous day: clear high and reversal identified
- Zone drawn from candle body to upper wick and extended forward
- Next day opens gap up
- Price returned to the zone (wick, body, inside, or very close)
- Green candle formed after the interaction
- Entry taken; target 70 points; stop-loss 35 or 40 points

7. Chart Examples

Example 1



Example 2



Example 3



Example 4



Example 5

